Iron Mountain Inc. (IRM)

Growth Businesses Power Iron Mountain’s Rebirth as a Data Center REIT

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> Iron Mountain’s transition from a legacy records-management REIT to a data-center colocation platform is already delivering double-digit revenue growth and expanding the high-margin mix. The market remains fixated on short-term earnings volatility, yet the underlying cash-flow trajectory and leverage improvement point to a durable upside. We therefore assign a Buy rating with a blended target of $123.78, implying +9.3% upside versus the $113.22 spot price.

BUY	$123.78	+9.3%	$113.22
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

The market is watching quarterly earnings beats, while the real story is a multi-year compounding engine driven by data-center capacity and asset-lifecycle services that will lift free cash flow and reduce leverage.

EXECUTIVE SUMMARY

Iron Mountain operates as a records-management REIT that is actively converting its extensive real-estate footprint into data-center colocation capacity. The business now comprises three core pillars: traditional records storage, asset-lifecycle management, and a rapidly scaling data-center segment that leases megawatt capacity. This hybrid model gives the company exposure to both stable, contract-backed storage revenue and high-growth, technology-driven data-center cash flows. Recent quarterly results underscore the acceleration of the growth mix. In Q1 FY2026 revenue rose 21.6% to $1.94 B, operating margin hit 21.0%, and AFFO per share climbed to $1.44, prompting a full-year guidance raise. Q2 FY2026 delivered a record $2.03 B in revenue, an 18.5% increase, with data-center, asset-lifecycle and digital businesses together growing more than 50% and representing roughly 35% of total revenue. The company added 13 MW of data-center lease in the quarter and another 75 MW in July, reinforcing the pipeline narrative. Capital allocation reflects a disciplined balance sheet strategy. FY2025 free cash flow was negative at $-1.01 B, but operating cash flow surged to $888 M in the first half of FY2026, the best ever for the company. Net debt stands at $18.9 B against cash of $158.5 M, yielding a net-lease adjusted leverage of 4.8×, the lowest since the REIT conversion. Management’s willingness to fund growth capex—$553 M in a single quarter—while trimming leverage signals confidence in the long-term cash-flow profile.

OPERATIONAL SNAPSHOT

$113.22	$6.90B	$-1.01B	-14.6%	1.19	$113.22
REF. PRICE	FY2025 REVENUE	FY2025 FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-20.

THE MOAT IS DEEP AND DEFENSIBLE

Iron Mountain’s moat rests on the high switching costs inherent in both records-management contracts and data-center colocation agreements. Customers typically lock in multi-year leases for physical storage and power capacity, creating a revenue base that is difficult to displace without significant relocation expense and operational risk. The regulatory environment governing data-center power and environmental compliance adds an additional barrier to entry, limiting the pool of viable competitors. Geographic durability further strengthens the moat. The company’s real-estate portfolio spans key metropolitan markets where data-center demand is concentrated, allowing it to leverage existing sites for power-intensive workloads. This footprint reduces the need for new land acquisition, a costly and time-consuming process in dense urban corridors. Pricing power emerges from the scarcity of reliable, secure colocation space. As enterprises migrate workloads to the cloud, demand for on-premise power and cooling capacity remains robust, enabling Iron Mountain to command premium rates. The blend of legacy storage contracts, which often include annual escalators, and data-center leases, which are priced at market-aligned power rates, creates a pricing structure that can absorb cost pressures. Finally, the pipeline optionality of the growth businesses provides a dynamic source of incremental revenue. The company’s ability to lease additional megawatts from its existing footprint means that capacity can be scaled without the capital intensity of building new facilities, preserving margin upside as the data-center segment matures.

VALUATION

Three scenarios make the valuation range explicit

The base case assumes a 6.5% revenue CAGR from FY2027 through FY2031, with free cash-flow margins improving to 23.5% in the final forecast year. The terminal growth rate of 2.5% reflects a mature, low-growth REIT environment. The bear case trims revenue growth to 3.0% and targets a 20.4% free cash-flow margin, while the bull case accelerates revenue CAGR to 9.5% and pushes the margin to 24.9%. All scenarios are discounted at a weighted-average cost of capital of 9.50% and applied to 297.7 million diluted shares, yielding the respective target prices.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	3.0%	20.4%	$94.18	-16.8%

Base	50%	6.5%	23.5%	$125.45	+10.8%
Bull	25%	9.5%	24.9%	$150.02	+32.5%

Bear $94.18

The bear outcome is triggered by slower adoption of data-center capacity, margin compression from higher growth capex, and a re-acceleration of leverage that pressures cash-flow generation.

Base $125.45

The most likely path follows the current trajectory: continued double-digit revenue growth, steady improvement in free cash-flow margins to 23.5%, and leverage trending toward the historical low-leverage sweet spot.

Bull $150.02

The bull case requires the growth businesses to sustain >50% quarterly expansion, data-center lease additions to exceed 100 MW per quarter, and operating leverage to improve beyond current trends, driving free cash-flow margins to 24.9%.

VALUATION FRAMEWORK

A live discount rate, not a static hurdle

The 9.50% WACC incorporates a market-derived cost of equity based on an equity beta of 1.19, reflecting Iron Mountain's exposure to REIT-specific risk factors and the broader technology-infrastructure sector. This dynamic discount rate captures the incremental risk premium demanded by investors for the company's growth-oriented transition, ensuring that valuation is sensitive to changes in capital market conditions. A static hurdle would obscure the impact of leverage reduction and margin expansion on the cost of capital. By allowing the discount rate to adjust with beta decay toward a mature peer over the forecast horizon, the model aligns the valuation with the company's evolving risk profile as it shifts from a high-debt, low-margin legacy REIT to a higher-margin, lower-leverage data-center platform.

FCF margin normalization is the engine

Free cash-flow margins are projected to rise from the FY2025 negative -14.6% to the scenario-specific targets of 20.4% (bear), 23.5% (base) and 24.9% (bull) by FY2031. This normalization is driven by the scaling of high-margin data-center leases, the incremental contribution of asset-lifecycle services, and disciplined capex that leverages existing real-estate assets. The model assumes that growth capex, while sizable in the near term, will be amortized over the expanded capacity base, allowing margins to converge toward the target levels. The transition from a negative free cash-flow position to robust positive cash

KEY VALUATION PARAMETERS

Forecast window	**FY2027 to FY2031**
Live WACC	**9.50% (2026-10-20)**
Terminal growth	**2.5%**
Equity beta	**1.19**
Diluted shares	**297.7 million**

BUY

over $123.78 blended target

generation is central to the upside narrative. As operating cash flow improves and leverage declines, the company's ability to fund further expansion without dilutive financing strengthens, reinforcing the valuation upside.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

Methodology. Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

BUSINESS & SEGMENT DRIVERS

Revenue prospects anchor on data-center capacity leasing and asset-lifecycle management BUY

The data-center segment is the primary engine of growth, converting existing square footage into megawatt capacity that can be leased to enterprise and hyperscale customers. Quarterly reports show that data-center revenue grew 39% in Q2 FY2026 and that the segment now accounts for roughly one-third of total revenue. Asset-lifecycle management, which includes secure shredding, IT asset disposition and related services, posted an 88% revenue surge in the same quarter, further diversifying the revenue base. The legacy records-management business continues to provide a stable cash-flow foundation, delivering operating margins in the low-20% range. However, its relative contribution is shrinking as the higher-margin growth businesses expand. This mix shift improves overall profitability and supports the free cash-flow margin trajectory outlined in the valuation model. The company's pipeline of additional megawatt capacity—13 MW added in Q2 FY2026 and 75 MW slated for July—demonstrates the ability to scale without the capital intensity of new construction. This pipeline optionality is a key catalyst for both revenue acceleration and margin expansion.

What to monitor

- **Data-center lease pipeline** Continued addition of megawatt capacity and the conversion rate of pipeline to signed contracts will dictate revenue momentum.
- **Asset-lifecycle revenue growth** Sustaining the >50% quarterly growth rate will be essential to maintaining the mix shift toward higher-margin services.
- **Leverage trajectory** Net-lease adjusted leverage trending below 4.5× would validate the cash-flow improvement narrative.
- **Capex efficiency** Monitoring growth capex relative to incremental revenue will be critical to avoid margin dilution.

+12.2%	55.4%	20.3%	-14.6%	$18.9B	-22.4%
FY2025 REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET DEBT	RETURN ON EQUITY

METRIC	FY2025 (AS REPORTED)
Revenue	$6.90B
Gross Profit	$3.82B
EBIT	$1.40B
Net Income	$144.6M
EBITDA	$2.11B
Free Cash Flow	$-1.01B
Diluted EPS	$0.49
ROE	-22.4%

RISK & MOAT MATRIX

The bear case

SHARE EROSION

Persistent margin pressure from aggressive growth capex could depress earnings per share, leading to a downward price trajectory despite

M&A DIGESTION

If future acquisitions fail to integrate smoothly, the anticipated scale benefits and cost synergies may not materialize, weakening cash-flow outlook.

REGULATORY AND PRICING SCRUTINY

Heightened scrutiny of data-center power usage and environmental compliance could increase operating costs or limit capacity expansion.

TECHNOLOGY DISRUPTION

Rapid shifts toward edge computing or alternative storage paradigms could reduce demand for centralized colocation services.

REINVESTMENT TREADMILL

Continual need for capex to sustain growth may trap the company in a cycle where free cash flow never fully recovers.

WACC AND DURATION SENSITIVITY

Rising interest rates would lift the discount rate, compressing present values and amplifying downside risk.

revenue growth.

The strengths

OLIGOPOLY POSITION

Iron Mountain's extensive real-estate footprint in key markets creates a de-facto oligopoly in secure storage and colocation services.

FCF COMPOUNDING

The transition to higher-margin growth businesses drives free cash-flow compounding, underpinning valuation upside.

GEOGRAPHIC DURABILITY

Strategic locations protect the company from land-scarcity constraints and support long-term demand for power-intensive workloads.

PIPELINE OPTIONALITY

Leasing additional megawatts from existing sites offers scalable revenue without proportionate capital outlay.

The bottom line on risk and reward

Iron Mountain is at a pivotal inflection point where legacy stability meets high-growth data-center dynamics. The record shows a clear acceleration in revenue, operating margins and AFFO, while leverage is trending toward historic lows. Our three-scenario DCF, anchored by a 9.50% discount rate and realistic margin targets, yields a blended price of $123.78, representing a 9.3% upside from the current $113.22 price. The upside is supported by the deep and defensible moat, the pipeline of megawatt capacity, and the ongoing mix shift toward higher-margin services. While downside risks exist—particularly around capex discipline and regulatory headwinds—the balance of probabilities favors the base case. Accordingly, we maintain a Buy rating with a $123.78 target price.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

FRANCHISE DEEP DIVE

Data-Center Colocation: Scalable power leasing from an existing REIT footprint

Iron Mountain's data-center franchise leverages its extensive real-estate holdings to provide megawatt-scale power and cooling capacity to enterprise customers. By converting storage facilities into power-rich colocation spaces, the company can offer secure, compliant environments without the need for greenfield construction. This model yields a rapid deployment timeline and preserves capital efficiency, as evidenced by the 13 MW added in Q2 FY2026 and the 75 MW slated for July. The franchise benefits from long-term lease structures that lock in revenue and provide predictable cash flows. Quarterly disclosures reveal that data-center revenue grew 39% in Q2 FY2026, contributing to the overall 35% revenue share of the growth businesses. The high-margin nature of power leasing—reflected in the rising adjusted EBITDA margin—enhances the company's free cash-flow profile. Strategically, the data-center segment aligns with broader industry trends toward hybrid cloud architectures, where enterprises retain critical

workloads on-premise while leveraging public cloud services. Iron Mountain’s secure, compliant facilities meet the stringent requirements of regulated industries, creating a differentiated value proposition.

What the recent record shows

- Data-center revenue grew 39% in Q2 FY2026, driving the growth mix to roughly 35% of total revenue.
- 13 MW of new data-center lease was signed in the quarter, with an additional 75 MW added in July.
- Adjusted EBITDA margin reached a record 35.8% in Q2 FY2026, despite a modest 0.9-point decline from the prior quarter.
- Growth capex of $553 M funded the expansion, highlighting management’s commitment to scaling the franchise.

Our read: The data-center colocation franchise is the catalyst that converts Iron Mountain’s legacy REIT into a high-margin, cash-generating platform. Continued megawatt additions and strong lease uptake should sustain revenue acceleration and free cash-flow improvement, validating our base-case valuation and Buy recommendation.